WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

NICARAGUA

Americas

Information current as of October 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Managua	Capital and commercial centre; seat of government and the central bank, and home to the financial sector, which drew a quarter of 2025 FDI	Financial services, trade, construction, business services
Free-zone industrial parks (nationwide)	Export-manufacturing platform that shipped $3.58 billion in 2025, now supported by income-tax exemptions extended in April 2026 to 15 years for operators and 10 years for users, renewable	Apparel, wire harnesses, light manufacturing, agro-processing
Gold mining districts (North Caribbean Coast, Chontales, León)	Gold is the leading export and energy and mining attracted 31% of 2025 FDI; the sector is subject to US sanctions authorities and 2022 and 2026 OFAC designations	Mining and mining services, for investors with full sanctions clearance only
Northern highlands (Matagalpa, Jinotega)	Heart of coffee production, one of the country's main exports and a beneficiary of high international prices	Coffee, specialty agriculture, agro-processing
Cattle regions (central and Caribbean interior)	Beef is a top-three export, supported by broad market access through CAFTA-DR, the EU agreement and the China FTA	Livestock, meat processing, cold-chain logistics
Punta Huete (Managua department)	Airport modernisation announced in 2024 at around $500 million with Chinese support, intended to lower logistics costs and serve as a regional cargo node	Aviation logistics, construction, related services

INVESTOR ENTRY ROUTES

- Foreign Investment Law (Law 1240), in force since 24 May 2025, granting national treatment, access to foreign currency, profit and capital repatriation after tax, and New York Convention recognition of arbitral awards
- National Foreign Investment Commission (CNIE), created by Law 1240 to approve strategic investments under foreign investment contracts with the State, with registration and the single foreign-investment certificate (RUIE) handled by MIFIC
- Free Zone Law (Law 917), reformed in April 2026: 100% income-tax exemption for 15 years for zone operators and 10 years for user companies, renewable with National Free Zones Commission approval, with dividends and capital gains also exempt

- Currency regime: the córdoba follows a crawling peg against the dollar with the crawl set at 0% for 2025 and 2026, giving a stable exchange rate, while Law 1240 guarantees remittance of profits, dividends and capital
- Export-sector entry through agriculture, agro-processing and manufacturing, using CAFTA-DR origin rules to benefit from preferential US treatment
- Compliance-led entry: every structure, partner and bank channel should be screened against US (OFAC), UK, EU and Canadian sanctions lists before commitment

MARKET-ENTRY OBSERVATION

Nicaragua in October 2026 combines steady growth with some of the strongest external buffers in Central America. The central bank reports GDP growth of 4.9% in 2025 and 4.1% in the first half of 2026, with a full-year target of 3.5–4.5%; the World Bank raised its 2026 forecast to 3.6% in October. Net FDI inflows rose 7.6% to $1.5 billion in 2025, led by manufacturing (31%), energy and mining (31%) and financial services (25%). Record exports of more than $8.9 billion in 2025, a current account surplus of 9.5% of GDP and gross reserves of $9.9 billion in July 2026, up a third year-on-year, underpin a stable córdoba, while public debt fell to 48.1% of GDP. Inflation of 4% in July 2026 remains moderate, and the central bank cut its policy rate to 5.75% in January 2026. Law 1240 of 2025 modernised the foreign-investment framework, and the April 2026 free-zone reform lengthened tax incentives for export manufacturers.

Nicaragua's main structural challenge is its relationship with Western governments and the legal environment this creates for investors. The US, UK, EU and Canada maintain targeted sanctions on officials and entities, and the US has extended them to the gold sector, most recently in April 2026; the US is also phasing in Section 301 tariffs on Nicaraguan goods from 2027, on top of a 12.5% forced-labour tariff in force since July 2026. The IMF also points to transfers of private property to the state since 2022 as a risk to confidence. These measures are targeted rather than comprehensive, so most commercial activity with non-designated private counterparts remains lawful with proper screening. The country's resilience rests on its reserves, current account surplus and diversified market access, and well-advised investors in export agriculture and CAFTA-compliant manufacturing can build positions now while preparing for any future improvement in relations.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
US, UK, EU and Canadian sanctions	OFAC's Nicaragua programme (EO 13851, expanded by EO 14088 in 2022) targets officials, state bodies and the gold sector, with new designations in February and April 2026; the EU renewed its measures on 21 persons and 3 entities to October 2027, and the UK and Canada run their own regimes	Retain sanctions counsel, screen owners and counterparties for 50% ownership links, and focus on private, non-designated partners in permitted sectors
US trade measures	A 12.5% Section 301 forced-labour tariff has applied to most Nicaraguan goods since 24 July 2026, and a Nicaragua-specific Section 301 tariff on non-CAFTA-DR-originating goods rises from 0% to 10% in January 2027 and 15% in January 2028	Design supply chains to meet CAFTA-DR origin rules, model the tariff schedule into pricing, and use the EU and China agreements to diversify markets
Property rights and rule of law	The IMF cites transfers of private property to the state since 2022, and the April 2026 US designations included persons linked to the seizure of US-owned property	Use Law 1240 foreign investment contracts and international arbitration clauses, take political-risk insurance where available and keep in-country assets proportionate
Gold sector exposure	Gold leads exports and benefits from high prices, but the sector is a designated US sanctions target and the General Directorate of Mines has been blocked since 2022	Treat mining as a specialist, counsel-led opportunity; investors elsewhere benefit indirectly from the reserves that gold earnings support
Reliance on remittances and US migration	Remittances reached about 29.5% of GDP	Strong reserves cushion the economy;

Issue	Potential Impact	Possible Mitigation
policy	in 2025, supporting consumption and reserves, while the IMF flags tighter US immigration policy as a risk	consumer-facing investors can plan for moderating, rather than falling, household spending growth
Free-zone competitiveness	Business groups report around 40,000 free-zone jobs lost over three and a half years, although free-zone exports still rose 1.6% in 2025	The April 2026 incentive reform and an available, cost-competitive workforce create entry points for CAFTA-compliant manufacturers
Climate and commodity prices	The World Bank cites El Niño and oil-price volatility as risks to agriculture-led growth	Diversify sourcing across regions and crops, and use climate-resilient agricultural practices and insurance

INVESTOR RISK NOTE

Nicaragua's risk profile combines solid macroeconomic fundamentals with a demanding legal and political environment. Growth of 4.9% in 2025, a large current account surplus, near-$10 billion reserves, falling public debt and a stable exchange-rate regime give the economy real resilience, and Law 1240 provides a modern written framework for foreign investment. Against this, investors must treat compliance as a core design issue: the US, UK, EU and Canada maintain targeted sanctions on Nicaraguan officials and entities, the US gold-sector authority and designations make mining a specialist area, and US Section 301 tariffs will rise in 2027 and 2028 for goods that do not meet CAFTA-DR origin rules. The IMF's concerns about property rights and the rule of law reinforce the case for robust contracts, international arbitration and proportionate exposure. These are compliance considerations, not barriers to all business: with sanctions counsel, careful counterparty screening and a focus on private partners in agriculture, agro-processing and origin-compliant manufacturing, investors can participate lawfully today and be well placed should relations with Western partners improve.

MARKET ACCESS

Nicaragua has been a WTO member since 1995 and is part of the Central American integration system, and through CAFTA-DR it retains preferential access to the United States, which is the main destination for the roughly 82% of exports sold outside Central America. The trade pillar of the EU–Central America Association Agreement provides preferential access to the European Union, and a free trade agreement with China entered into force in January 2024, opening a growing market for beef, seafood and other agricultural products. Leading exports include gold, coffee, beef, textiles, wire harnesses and tobacco, with total exports reaching a record of more than $8.9 billion in 2025. The new US Section 301 tariffs make CAFTA-DR origin compliance increasingly valuable, and this multi-directional mix of US, European, Central American and Chinese access gives exporters options to diversify.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Co-Presidency (Daniel Ortega and Rosario Murillo)	Sets economic and foreign policy; Rosario Murillo and several family members and senior officials are designated under US and other sanctions regimes	Reference point for policy direction; any engagement must be cleared by sanctions counsel and avoid designated persons
National Foreign Investment Commission (CNIE)	Created by Law 1240 to apply the investment law and approve strategic investments and foreign investment contracts	Route for strategic-investment status, subject to screening of commission members and counterparts
Ministry of Development, Industry and Trade (MIFIC)	Registers foreign investors and issues the single foreign-investment certificate (RUIE); first stage of dispute resolution under Law 1240	Practical first point of contact for registration and compliance with the investment law
Central Bank of Nicaragua (BCN)	Monetary authority managing the córdoba crawl and nearly $10 billion in reserves; its president has been personally designated by OFAC since 2021, though the bank itself is not	Source of official data; transactions require advice on handling the designated official

Actor	Why It Matters	Waverley Engagement Angle
National Free Zones Commission (CNZF)	Administers the free-zone regime and approves renewals of the extended 15- and 10-year tax exemptions	Key counterpart for export-manufacturing entry
Ministry of Energy and Mines / General Directorate of Mines (DGM)	Regulates mining concessions; the DGM has been designated by OFAC since October 2022	Relevant only to counsel-led mining analysis; no dealings with the DGM without legal clearance
Sanctions authorities (US OFAC, UK, EU and Canada)	Set and update the designation lists and licences that define what investors may lawfully do in Nicaragua	Monitor closely; their decisions shape both current compliance and future normalisation

CURRENT INTERNATIONAL BUSINESS CHANNELS

Nicaragua's private-sector landscape has narrowed since the government cancelled the legal status of many independent business associations, including the American Chamber of Commerce, so investors should rely on a wider mix of channels. The National Free Zones Commission and established free-zone operators are the most practical sources of guidance for export manufacturers, while international buyers, traders and logistics firms active in coffee, beef and apparel offer useful market intelligence. The Central American Bank for Economic Integration (CABEI) remains the most active multilateral lender in the country, and the IMF's annual Article IV consultations provide an independent view of the economy. Regional chambers and law firms in Costa Rica, Honduras and Panama, together with home-country embassies and trade offices, are valuable for compliance-aware introductions.

INVESTOR PROFILE BEST SUITED

Nicaragua best suits experienced, compliance-focused investors comfortable with frontier conditions: export-oriented manufacturers using the extended free-zone incentives and CAFTA-DR origin rules; agribusiness and food-processing investors in coffee, beef and seafood with access to US, EU and Chinese markets; regional Central American groups with existing operational knowledge; and long-horizon investors seeking early positioning for any future normalisation of relations with Western partners. Mining and any sector involving state or designated counterparts is suitable only for specialists with full sanctions clearance, and all investors should build sanctions screening, origin compliance and political-risk planning into project design.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Commission a sanctions and legal review before any commitment
Engage counsel covering US, UK, EU and Canadian regimes to screen partners, owners, banks and land titles, including 50% ownership links to designated persons.

STEP 2: Register under Law 1240 and assess strategic-investment status
Obtain the RUIE certificate through MIFIC and consider whether a foreign investment contract with international arbitration offers added protection.

STEP 3: Build CAFTA-DR origin compliance into the business model
Structure sourcing and production to qualify for CAFTA-DR treatment and model the Section 301 tariff schedule for 2027 and 2028 into pricing.

STEP 4: Evaluate free-zone incentives for export manufacturing
Engage the National Free Zones Commission on the 15- and 10-year income-tax exemptions introduced in April 2026 and their renewal terms.

STEP 5: Track sanctions and trade developments for normalisation signals
Monitor OFAC, UK, EU and Canadian decisions and USTR reviews, which shape both current compliance and the timing of any broader opening.